tail Sales Performance Analysis
alysis Project (Excel)

mance, customer behavior, discount impact, and store efficiency to support data-
ns.

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Introduction

- Fashion Wave is a retail brand with around 50 stores across India
- Company noticed weekday sales are stable, but weekend sales are not growing
- Weekends should ideally bring higher revenue → but this is not happening
- Management wants to understand product performance and discount impact
- Main goal of this project → improve weekend sales and overall profitability
- My role → analyze last 2 years sales data and find practical business insights

EDA Overview

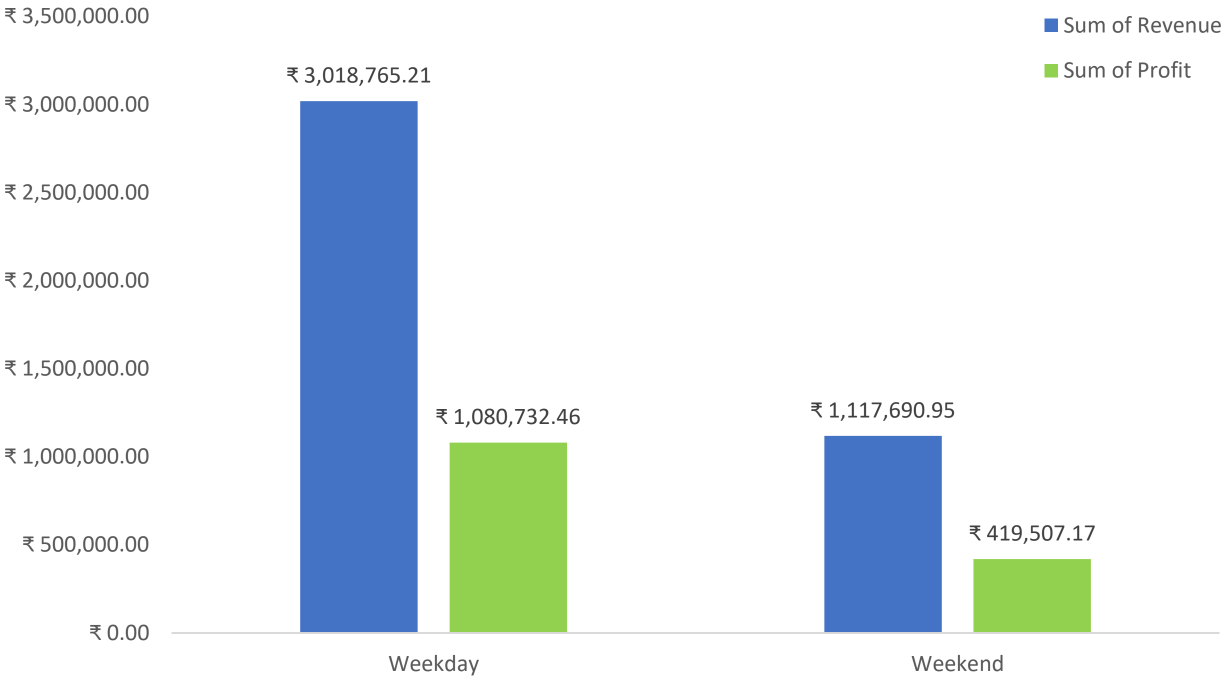
- First step was checking data quality and cleaning missing values
- Some missing data found in Discount and Customer Type columns
- Analyzed weekend vs weekday sales trend
- Compared revenue and profit across product categories
- Studied how discounts affect sales and profit margin
- Checked store-wise performance to find weak stores
- Used charts like bar chart, line chart, combo chart for better understanding

Statistical Findings

- Weekend sales contribution is lower compared to weekdays
- Some categories generate high sales but low profit due to heavy discounts
- Moderate discounts increase sales, but high discounts reduce profit margin
- Customer groups show different buying behavior and order value
- Few stores consistently show lower performance
- Business needs better discount strategy and weekend engagement plan

Weekend Sales Contribute Just 27% of Total Revenue

Weekday → 73%
Weekend → 27%



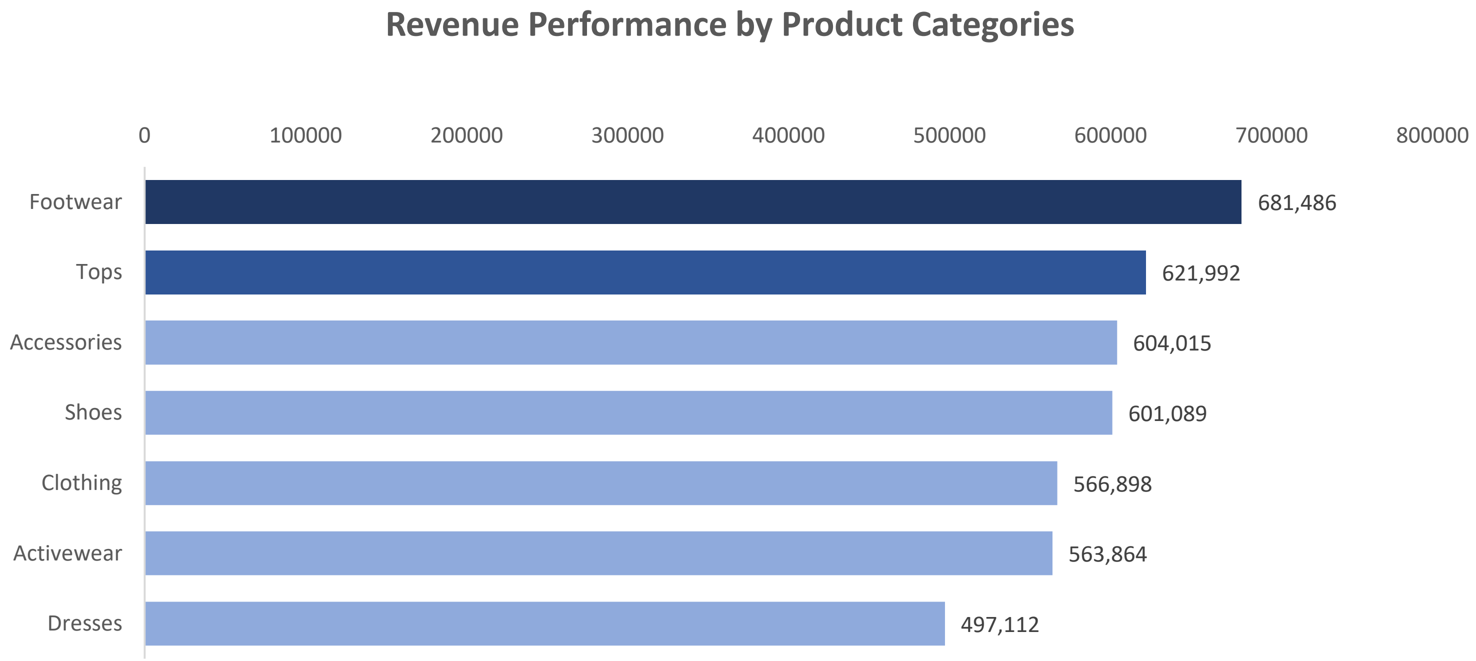
Business Insights

• Weekday sales generate **73% of total revenue**, while weekends contribute only **27%**, showing a clear performance gap.
• Profit follows the same trend, with **72% earned on weekdays** versus **28% on weekends**.
•Weekend sales volume is significantly lower than weekdays, indicating lower customer footfall.

Key Insight

Lower customer engagement on weekends is the primary reason for weaker sales performance.

Revenue is Concentrated in Few Product Categories



Business Insights

• Footwear is the highest revenue-generating category, followed by Tops and Accessories.

• Tops and Accessories also perform strongly, together contributing nearly **30% of total revenue**.

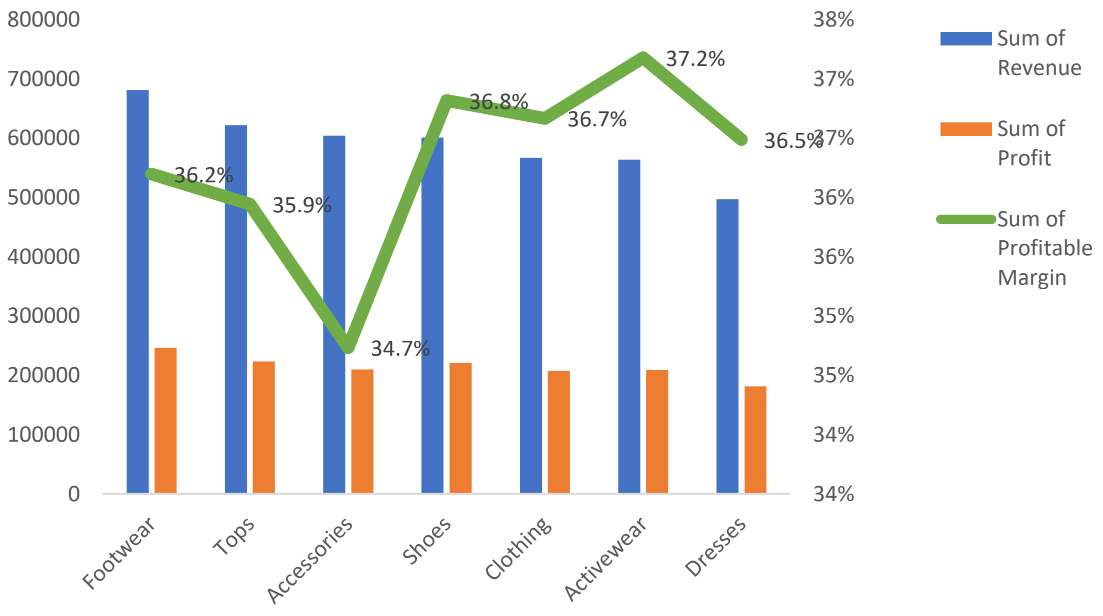
• Dresses category shows the lowest revenue contribution, indicating weaker demand or pricing impact.

• Revenue distribution is not balanced — top 3 categories contribute **almost half of total revenue**.

Key Insight

Revenue is heavily dependent on a few product categories, which increases business risk if demand shifts.

Revenue vs Profit vs Profit Margin Analysis by Category



Business Insight

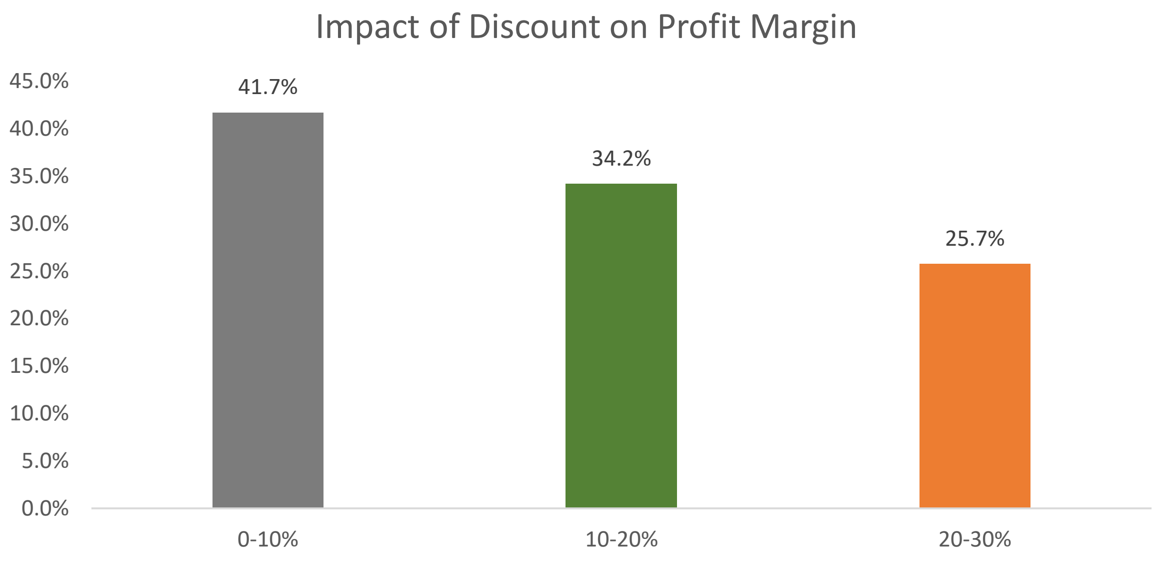
Footwear and Tops generate higher revenue but are less efficient in profitability.
However, Activewear shows the highest profit margin (~37%), indicating better pricing and cost efficiency. Categories like Dresses generate lower revenue and moderate profitability. This suggests that high sales volume does not always lead to higher profit.

Key Insights

Profit margin across categories is quite close, but still varies between about **34% to 37%**, which shows that pricing or cost structure differs slightly by category.

Footwear and Tops are strong in terms of sales volume, but they are not the most efficient when we look at profitability.

Higher Discounts Reduce Profitability Without Driving Proportionate Sales



Business Insights

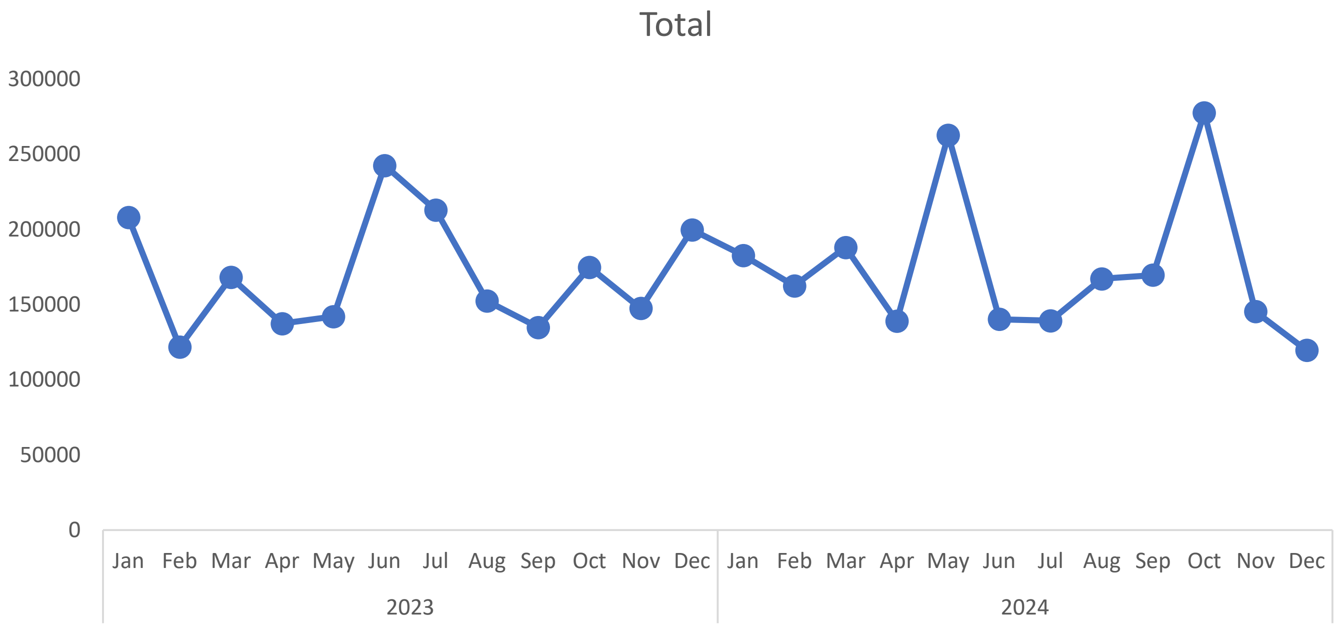
• Products with low discount (0–10%) are giving the highest profit margin.
• When discount increases, profit margin drops significantly.
•Higher discounts are not leading to proportional sales growth..
• This shows the company may be offering more discounts than required.

Discount Brand	Average of Profitable Margin	Sum of Revenue
0-10%	41.7%	2197222.424
10-20%	34.2%	1008356.334
20-30%	25.7%	930877.3935
Grand Total	36.3%	4136456.151

Key Insight

FashionWave can improve profit by **controlling high discount offers and focusing more on low-Discount sales.**

Sales Show Seasonal Fluctuations Across Months



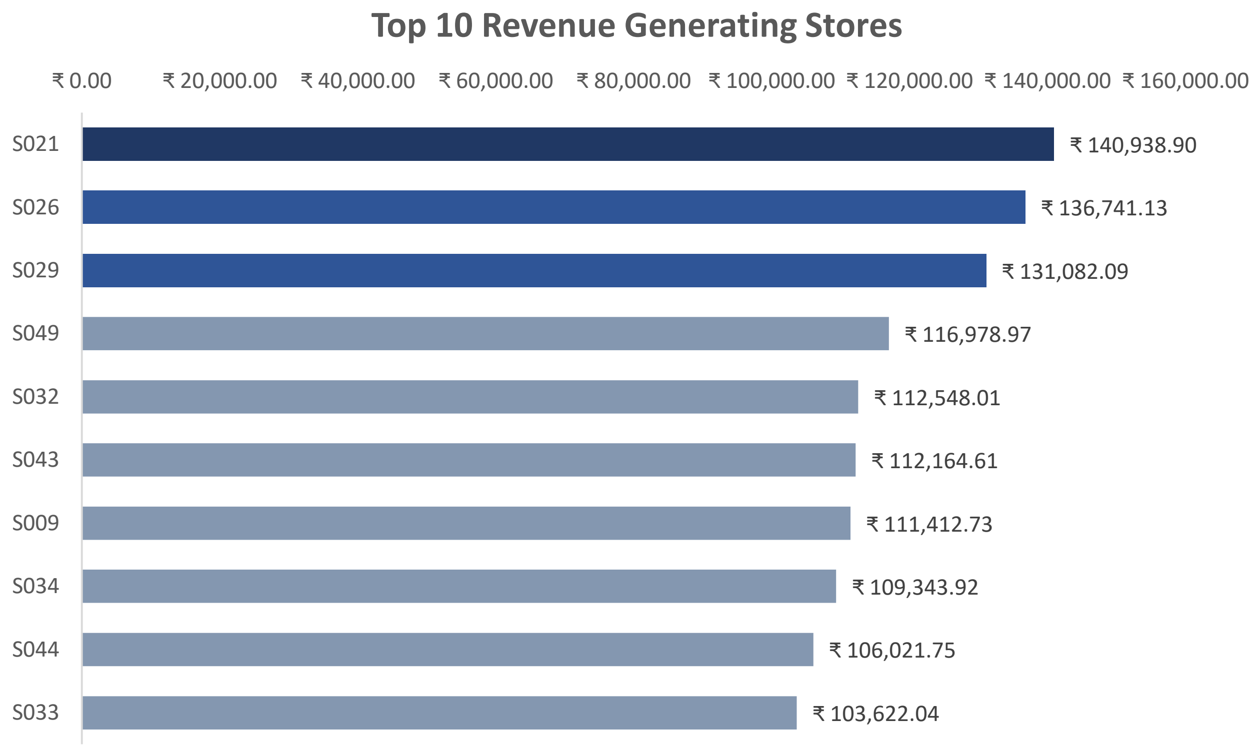
BUSINESS INSIGHTS

- Monthly sales show clear ups and downs instead of steady growth.
- Some months experience sharp sales spikes, likely due to festivals or promotions.
- Similar fluctuation pattern is visible in both years, indicating recurring seasonal behavior.
- Unstable sales trend makes revenue forecasting and inventory planning more challenging.

KEY INSIGHT

Sales are not consistent throughout the year, showing strong seasonal influence on customer demand.

Top Stores Drive Majority of Company Sales Performance



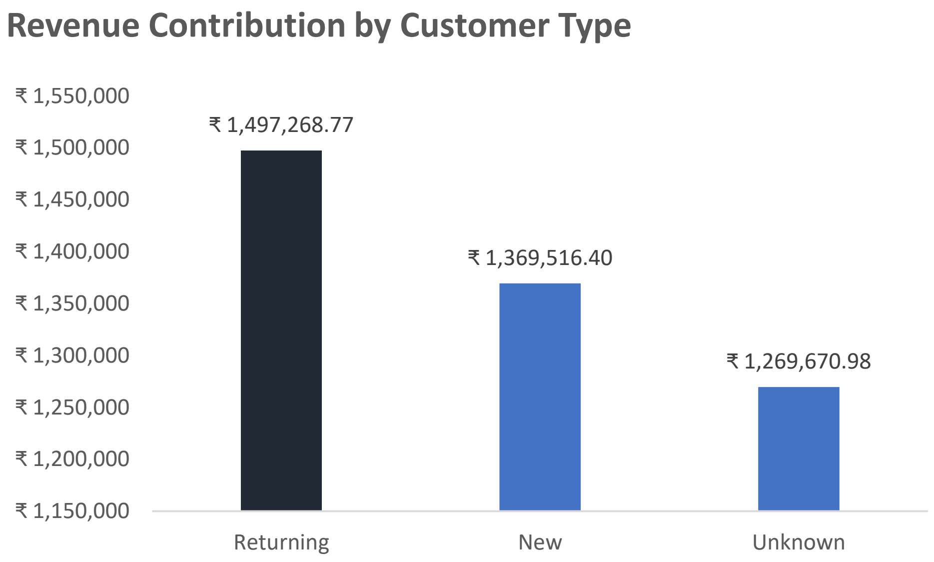
Business Insights

• A small group of stores contributes the highest share of total revenue.
• Store **S021 is the top performer**, generating the maximum sales.
• The gap between top and lower-ranked stores shows **uneven performance across locations**.
• Many stores are operating below potential, indicating **opportunity for improvement**.
•Company revenue is highly dependent on a small group of top-performing stores.

Key Insight

Fashion Wave's revenue is not evenly distributed across stores —
focusing on improving mid and low performing stores can significantly increase total sales.

Business Relies Heavily on Returning Customers for Revenue



Returning customers contribute the **highest share of total revenue**, showing strong customer loyalty.

- Revenue from **new customers is comparatively lower**, indicating slow customer acquisition growth.
- A significant portion of revenue also comes from **unknown customer segments**, showing data tracking or engagement gaps.
- Heavy dependence on returning customers creates **long-term growth risk** if retention drops.

Key Insight

Fashion Wave's revenue growth is currently **driven more by retention than acquisition**, which may limit future expansion potential.

Findings From the data analysis

- Sales on weekends are clearly lower compared to weekdays.
- Business is earning most revenue from only a few product categories.
- Giving higher discounts is reducing profit instead of helping much.
- Sales are not consistent every month — some months are strong, some are weak.
- Returning customers are bringing more revenue than new customers.
- Some stores are performing much better than others.

Recommendations and Projections

- Focus on increasing weekend sales through offers or marketing activities.
- Avoid giving too much discount — focus more on smart pricing.
- Try to grow sales in low-performing product categories.
- Put more effort into attracting new customers.
- Learn from top-performing stores and apply similar strategies in weaker stores.

Business Projection

- Weekend sales have strong potential to grow by around **10–15%** with better promotions and store planning
- Overall profit margins can improve by approximately **5–8%** if pricing and discount strategies are optimized
- Expanding the customer base will help create **more stable and predictable long-term revenue**
- A more balanced category mix will reduce dependency on a few products and **lower business risk**
- Improving underperforming stores can lead to **better operational efficiency and stronger total performance**